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[TENTATIVE] ORDER OVERRULING DEFENDANTS' DEMURRER AND DENYING MOTION TO STRIKE

I. INTRODUCTION

This action commenced on November 20, 2025. On May 12, 2026, Plaintiff Mohammed Sadeghi ("Plaintiff") filed the First Amended Complaint ("FAC") alleging causes of action for: (1) breach of contract (insurance policy); (2) breach of the implied covenant of good faith and fair dealing (contractual and tortious bad faith insurance); (3) financial elder abuse in violation of Welfare and Institutions Code sections 15610.30 and 15657.5; and (4) violation of the Unfair Competition Law under Business and Professions Code section 17200.

On June 16, 2026, Defendant California Automobile Insurance Company ("Defendant" or "CAIC") filed the instant motion to strike portions of the FAC. On June 17, 2026, Defendant filed the instant demurrer to the FAC. On September 3, 2026, Plaintiff filed oppositions to both motions. On September 10, 2026, Defendant filed replies.

Meet and confer

Pursuant to Code of Civil Procedure section 430.41, subdivision (a), the demurring party is required to meet and confer with the party who filed the pleading at least five days before the responsive pleading is due. This must occur in person, telephone or by video conference with the aim of resolving any objections raised in the demurrer. Additionally, the demurring party must file and serve a declaration detailing the meet and confer efforts. It should be noted, however, that the failure to meet and confer is not itself grounds for sustaining or overruling a demurrer or granting or denying a motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

Here, Defendant's counsel attempted to meet and confer prior to filing the demurrer. On June 5, 2026, Defendant's counsel sent Plaintiff a letter outlining the grounds for the demurrer and requesting a response by June 12, 2026. (Kim Decl., ¶ 4.) Plaintiff did not respond. (Kim Decl., ¶ 6.) On June 15, 2026, Defendant's counsel sent a follow-up email but received no response. (Kim Decl., ¶¶ 5–6.)

Thus, the requirement is not satisfied, however, the Court elects to consider the demurrer on the merits.

II. LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

CCP section 430.10(f) provides that a pleading is uncertain if it is ambiguous and unintelligible. (See Code Civ. Proc., § 430.10(f).) "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (Khoury v. Maly's of California, Inc. (1993) 14 Cal.App.4th 612, 616.) "A demurrer for uncertainty will be sustained only where the complaint is so bad that defendant cannot reasonably respond—i.e., he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her." (Weil & Brown, Civil Procedure Before Trial (The Rutter Group) § 7:85 (emphasis in original).) "The objection of uncertainty does not go to the failure to allege sufficient facts." (Brea v. McGlashan (1934) 3 Cal.App.2d 454, 459.) "It goes to the doubt as to what the pleader means by the facts alleged." (Id.) "Such a demurrer should not be sustained where the allegations of the complaint are sufficiently clear to apprise the defendant of the issues which he is to meet." (People v. Lim (1941) 18 Cal.2d 872, 882.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See Goodman v. Kennedy (1976) 18 Cal.3d 335, 349 [court shall not "sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment"]; Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1037 ["A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment."]; Vaccaro v. Kaiman (1998) 63 Cal.App.4th 761, 768 ["When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend."].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

Further, the court may, upon motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) The grounds for a motion to strike are that the pleading has irrelevant, false, or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Civ. Code §3294:

(a) In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example and by way of punishing the defendant.

(c) As used in this section, the following definitions shall apply:

(1) "Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3) "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

III. ANALYSIS

Defendant demurs to the first cause of action for breach of contract, the second cause of action for breach of implied covenant of good faith and fair dealing, and the third cause of action for financial elder abuse. Defendant also demurs to all causes of action asserted against Mercury Insurance Services, LLC (“Mercury Services”) and Mercury General Corporation (“Mercury General”).

First and second causes of action: breach of contract and breach of implied

“The standard elements of a claim for breach of contract are: ‘(1) the contract, (2) plaintiff’s performance excuse for nonperformance, (3) defendant’s breach, and (4) damage to plaintiff therefrom.’” (Wall Street Network, Ltd. v. New York Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

The elements for breach of the implied covenant of good faith and fair dealing are: (1) existence of a contract between plaintiff and defendant; (2) plaintiff performed his contractual obligations or was excused from performing them; (3) the conditions requiring defendant’s performance had occurred; (4) the defendant unfairly interfered with the plaintiff’s right to receive the benefits of the contract; and (5) the plaintiff was harmed by the defendant’s conduct. (Merced Irr. Dist. V. County of Mariposa (E.D. Cal. 2013) 941 F.Supp.2d 1237, 1280 [discussing California law].)

Here, Defendant demurs to these causes of action primarily on the ground that they are barred by the Policy’s one-year contractual limitations period. Defendant argues, and provides a chart illustrating, that Plaintiff discovered the alleged loss on December 15, 2023, reported the claim on January 17, 2024, and that any tolling of the contractual limitations period ended when Defendants closed the claim on February 19, 2024. Defendant further argues that, by the time the claim was reopened on January 28, 2025, the one-year limitations period had already expired and that the subsequent closure of the claim on February 14, 2025, did not restart or otherwise extend the limitations period. Thus, Defendant contends that the limitations period had expired well before Plaintiff commenced this action on November 24, 2025. (Demurrer, pp. 8–11.)

The FAC alleges that the February 19, 2024, closure was not a denial of coverage. Rather, Plaintiff alleges that the claim was closed based on Plaintiff’s purported failure to respond regarding rescheduling an inspection and that, on March 5, 2024, Defendants’ adjuster informed Plaintiff that Defendants “can still re-open the claim and continue with the claims process.” (FAC, ¶ 17(c).) The FAC further alleges that Defendants subsequently reopened the claim and continued adjusting it. Specifically, on January 28, 2025, an adjuster contacted Plaintiff regarding “the claim you reopened” and requested additional documentation to “move the claim forward.” (FAC, ¶ 17(e).) Plaintiff further alleges that Defendants again closed the claim on February 14, 2025, but continued to identify items necessary to consider the claim for further review. (FAC, ¶ 17(f).)

Under California law, a contractual one-year suit limitation period is equitably tolled from the time the insured gives notice of the claim until the insurer formally denies the claim in writing. (Prudential-LMI Commercial Insurance v. Superior Court (1990) 51 Cal.3d 674, 678.) To terminate the tolling period, the insurer’s written denial must be unequivocal. (Aliberti v. Allstate Ins. Co. (1999) 74 Cal.App.4th 138, 148.) Although a denial need not use the specific words “deny” or “denial,” the communication must clearly convey that the insurer has rejected the claim. (Migliore v. Mid-Century Ins. Co. (2002) 97 Cal.App.4th 592, 605.) An insurer’s willingness to reconsider an otherwise unequivocal denial does not render the denial equivocal. (Id. at pp. 605–606.)

Here, the SOL argument depends on Defendants’ contention that the February 19, 2024, closure of Plaintiff’s claim terminated the equitable tolling period. The allegations of the FAC, however, do not establish as a matter of law that the February 19, 2024, communication constituted an unequivocal denial of Plaintiff’s claim. Rather, the FAC alleges that the February 19, 2024, letter closed the claim based on Plaintiff’s purported failure to respond regarding rescheduling and did not deny coverage. Plaintiff further alleges that, on March 5, 2024, Defendants’ adjuster informed Plaintiff that Defendants “can still re-open the claim and continue with the claims process.” (FAC, ¶ 17(c).)

Moreover, the FAC alleges that Defendants subsequently reopened the claim and continued the adjustment process. (See FAC ¶ 17e-f.) On demurrer, the Court accepts properly pleaded material facts as true, and accepting the allegation of the FAC as true, the Court cannot determine as a matter of law that February 19, 2024, closure constituted an unequivocal written denial that terminated equitable tolling.

Further, as to the second cause of action, the Court finds Plaintiff has sufficiently alleged unreasonable claims handling. The FAC alleges Defendants failed to pay any portion of Plaintiff's claim despite timely notice and documentation, failed to timely inspect the property and conduct a complete investigation, issued successive procedural closures (See FAC, ¶ 31(a)-(h)). Accepting these allegations as true, it is enough to allege Defendant unreasonably interfered with Plaintiff's right to receive benefits under the policy.

Thus, the Court OVERRULES the demurrer as to the first and second causes of action

Third cause of action: financial elder abuse

Defendant demurs to the third cause of action for financial elder abuse, arguing that the claim is likewise barred by the Policy's one-year contractual limitations period. Defendant further argues that the allegations underlying the claim are the same allegations supporting Plaintiff's bad faith claim and are insufficient to establish elder abuse. (Demurrer, p. 11.)

First, as discussed further above, the Court cannot determine as a matter of law at the demurrer stage that the Policy's one-year contractual limitations period expired before Plaintiff commenced this action. Thus, OVERRULED in part on this ground.

Next, To establish financial elder abuse, the plaintiff must allege that the defendant took or retained the plaintiff's property; that the plaintiff was 65 years of age or older at the time of the conduct; that the defendant took or retained the property for a wrongful use or with the intent to defraud; that the plaintiff was harmed; and that the defendant's conduct was a substantial factor in causing the plaintiff's harm. (See CACI, § 3100.) An insurer's wrongful withholding of insurance benefits may constitute a retention of an elder's property where the insurer acted unreasonably or in bad faith. (Paslay v. State Farm General Ins. Co. (2016) 248 Cal.App.4th 639, 658-659.)

Here, the FAC alleges that Plaintiff is over 65 years of age and that Defendants wrongfully retained Plaintiff's property by delaying and refusing to pay benefits owed under the Policy. (FAC, ¶¶ 35–36.) Plaintiff further alleges that Defendants knew or should have known that their conduct was likely to harm Plaintiff and that Plaintiff suffered damages as a result. (FAC, ¶¶ 37, 39.) As discussed above, the FAC also sufficiently alleges unreasonable claims handling at the pleading stage. The Court therefore finds these allegations sufficient to state a cause of action for financial elder abuse.

Thus, the Court OVERRULES Defendant's demurrer as to the third cause of action.

Mercury Insurance Services, LLC and Mercury General Corporation

Finally, Defendant demurs to all causes of action asserted against Mercury Services and Mercury General, arguing that Plaintiff has not alleged a contractual relationship with either entity. (Demurrer, pp.11-12.)

In opposition, Plaintiff argues alter ego allegations here are sufficient. The FAC alleges unity of interest and ownership, commingled funds, overlapping officers, shared offices and personnel, inadequate capitalization, use of the entities as mere shells and conduits, and that respecting separate existence would produce an inequitable result. (FAC ¶ 6.) (Opposition, pp.7-8.)

"In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone." (Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App 4th 523, 538; Mesler v. Bragg Management Co. (1985) 39 Cal.3d 290, 300.)

Here, the FAC alleges that CAIC issued the Policy, Mercury Services administered and adjusted Plaintiff's claim, and Mercury General is the parent corporation of CAIC and Mercury Services and exercised substantial control over their claims-handling policies and practices. The FAC further alleges unity of interest and ownership among Defendants, including commingling of funds and assets, overlapping officers and personnel, shared offices and resources, inadequate capitalization, disregard of corporate formalities, and use of the entities as shells or conduits for one another. Plaintiff further alleges that discovery is expected to disclose additional facts supporting alter ego liability. (FAC, ¶¶ 2, 6.)

The Court finds these allegations sufficient, at the pleading stage, to allege alter ego liability. Thus, the Court **OVERRULES** Defendant's demurrer as to Mercury Services and Mercury General

Motion to strike

Defendant moves to strike paragraphs 1, 2, and 7 of Plaintiff's prayer for relief. Specifically, Defendant seeks to strike Plaintiff's requests for compensatory damages, Brandt attorney's fees, and punitive damages.

Brandt fees - Paragraph 1

As a preliminary matter, paragraph 2 of Plaintiff's prayer for relief seeks Brandt attorney's fees as an element of tort damages incurred to obtain policy benefits under the second cause of action. Defendant identifies paragraph 2 as seeking Brandt attorney's fees but does not separately address why such fees should be stricken.

When an insurer tortiously withholds policy benefits and reasonably compels the insured to retain an attorney to obtain the benefits due under the policy, the attorney's fees incurred to obtain those benefits are recoverable as tort damages. (Brandt v. Superior Court (1985) 37 Cal.3d 813, 817.)

As discussed above, Plaintiff has sufficiently alleged a cause of action for breach of the implied covenant of good faith and fair dealing. Thus, the Court **DENIES** the motion to strike paragraph 2 of Plaintiff's prayer for relief.

Punitive damages - paragraph 7

As to punitive damages, paragraph 7, as discussed above in connection with the demurrer, Plaintiff alleges more than a mere disagreement concerning coverage. The FAC alleges that Defendants knew Plaintiff was elderly and suffered from chronic medical conditions, failed to appear for a scheduled inspection and then falsely represented that the adjuster had appeared, used expiring portal links and communications that obscured the adjuster's identity, repeatedly closed the claim while continuing to request information, and later invoked the contractual limitations period. (Opposition, pp. 4-5.)

At the pleading stage, and accepting these allegations as true, the Court finds the FAC sufficiently alleges facts supporting Plaintiff's request for punitive damages. Thus, the Court **DENIES** to strike paragraph 7.

Compensatory damages - paragraph 1

Finally, as to compensatory damages, Defendant argues that paragraph 1 of Plaintiff's prayer improperly seeks compensatory, consequential, incidental, and general damages under the fourth cause of action for violation of the UCL, for which such damages are unavailable. (Motion, p. 7.)

Here, Plaintiff's first three causes of action seek damages, while Plaintiff separately seeks restitution and injunctive relief under the fourth cause of action. (Opposition, p.3.) The Court declines to strike Plaintiff's request for "compensatory, consequential, incidental, and general damages in an amount according to proof at trial" based merely on Defendant's presumption that the request applies to the UCL cause of action. Thus, the Court DENIES to strike paragraph 1.

The motion to strike is DENIED in its entirety.

IV. ORDER

The Court OVERRULES Defendant's demurrer to the first, second and third causes of action. The Court further DENIES Defendant's motion to strike in its entirety.

Defendant is to give notice.

Dated: September 17, 2026

JARED D. MOSES

JUDGE OF THE SUPERIOR COURT